Economic Critique of Imperialism

Perhaps the most important part of the early nationalists' political work was their economic critique of imperialism. They took note of all three forms of contemporary colonial economic exploitation, namely, through trade, industry and finance. They clearly grasped that the essence of British economic imperialism lay in the subordination of the Indian economy to the British economy. They vehemently opposed the British attempt to develop in India the basic characteristics of a colonial economy, namely, the transformation of India into a supplier of raw materials, a market for British manufactures, and a field of investment for foreign capital. They organised a powerful agitation against nearly all important official economic policies based on this colonial structure.

The early nationalists complained of India's growing poverty and economic backwardness and the failure of modern industry and agriculture to grow; and they put the blame on British economic exploitation of India. Thus Dadabhai Naoroji declared as early as 1881 that the British rule was "an everlasting, increasing, and every day increasing foreign invasion" that was "utterly, though gradually, destroying the country". The nationalists criticised the official economic policies for bringing about the ruin of India's traditional handicraft industries and for obstructing the development of modern industries. Most of them opposed the large-scale investment of foreign capital in the Indian railways, plantations and industries on the grounds that it would lead to the suppression of Indian capitalists and the further strengthening of the British hold on India's economy and polity. They believed that the employment of foreign capital posed a serious economic and political danger not only to the present generation but also to generations to come. The chief remedy they suggested for the removal of India's poverty was the rapid development of modern industries. They wanted the government to promote modern industries through tariff protection and direct government aid. They popularised the idea of *swadeshi* or the use of Indian goods, and the boycott of British goods as a means of promoting Indian industries. For example,